VIEWPOINT

ARTHUR D LITTLE
2026



THE SOVEREIGN STABLECOIN ERA: REPLICATION, NOT RESISTANCE

How the sovereign response is changing the global stablecoin map

In recent years, the sovereign response to US dollar–based stablecoins has often been framed as a binary choice: resist the spread or capitulate? The unfolding of recent events, however, has shifted the response decisively toward replication rather than resistance. From the UAE's dirham-backed stablecoin DDSC to Brazil's new virtual asset service provider (VASP) regime, Nigeria's Compliant Naira (cNGN), Hong Kong's licensing wave, and Japan's yen-pegged stablecoins, sovereigns are building their own response. This Viewpoint outlines the strategic implications for banks, payment infrastructure providers, and other players.

AUTHORS

Arjun Vir Singh

Dr. Mohammad Nikkar

Yusuke Takezawa

REPLICATION IS THE ANSWER

The sovereign stablecoin era began not with a policy announcement but with a market fact: between January 2023 and February 2026, unique holders of non-USD stablecoins grew 2,900% to 1.2 million, and weekly transfer volumes of Brazilian real (BRL)–denominated stablecoins rose from US $5 million to $132 million.

The base remains small; USD-backed tokens still account for roughly 97% of the approximately $312 billion fiat-backed stablecoin market. That is the point: the monoculture is ending not because the dollar is shrinking, but because credible sovereign-sponsored alternatives now exist, where 18 months ago they did not.

The UAE launched DDSC on 12 February 2026, executing a $30 million institutional transaction within three months of go-live. Brazil's Resolution 561 closed stablecoin payment rails in regulated cross-border payment channels while accommodating BRL alternatives domestically. In Nigeria, the SEC-regulated cNGN — a naira stablecoin issued by a private consortium of financial institutions and fintechs — launched on licensed exchanges in February 2025. Hong Kong's Stablecoins Ordinance took effect in August 2025, while Japan issued its first yen-pegged license the same month. These are structural moves by sovereigns that concluded the answer to dollar stablecoin proliferation is to build an alternative — not block it.

The old framing — dollar dominance versus sovereign resistance — assumed a binary outcome. Neither materialized. What has emerged is a third path: sovereign replication, executed at speed, producing a multicurrency architecture in which various instruments dominate different layers of the payment stack. The question is no longer whether this architecture will form; it's how to position within it. The sovereign stablecoin era has arrived.

THE REPLICATION WAVE

Since mid-2024, sovereign stablecoin activation has outrun most market analysis. The pattern emerges not from coordination, but from independent sovereigns arriving at the same conclusion.

> **THE ANSWER TO DOLLAR STABLECOIN PROLIFERATION IS TO BUILD AN ALTERNATIVE — NOT BLOCK IT**

UAE: The regional template

The UAE established the Middle East's first comprehensive regulatory framework for fiat-referenced tokens in June 2024. By February 2026, DDSC, backed by International Holding Company (IHC), Sirius International Holding, and First Abu Dhabi Bank (FAB), went live on the ADI Chain with approval from the Central Bank of the UAE (CBUAE). In parallel, Circle secured a license for USDC (USD Coin) in Abu Dhabi, Ripple secured approval for RLUSD (Ripple USD), and RAKBANK received in-principle approval to issue its own dirham stablecoin. The strategy is deliberate: permit regulated dollar stablecoins for cross-border flows while building a dirham-denominated layer for domestic commerce. Because the dirham is pegged to the US dollar, DDSC is economically almost identical to a dollar stablecoin — but with its regulatory home in Abu Dhabi. That distinction is the point.

"DDSC marks a defining milestone in the UAE's digital finance journey. This transaction demonstrates that the UAE's digital infrastructure is live, resilient, and ready to support real institutional financial activity."

Syed Basar Shueb, Group CEO, IHC

Brazil: Containment as strategy

Brazil's pivot is the most deliberate regulatory move of the past year. Resolutions 519–521 (November 2025) brought VASPs under banking-style supervision; Resolution 561 (April 2026) then barred eFX (electronic foreign exchange) providers from using stablecoins to settle the offshore leg of regulated payments, effective October 2026. Inside that perimeter, BRL stablecoins accelerated: BBRL, issued by the Braza Group on the XRP Ledger, and Transfero's BRZ increased their combined weekly volumes 26-fold between January 2024 and July 2025. This is not ambivalence; it is deliberate channeling of stablecoin activity into instruments that preserve monetary policy transmission.

Africa: Demand outrunning regulation

Sub-Saharan Africa registers the world's highest stablecoin adoption relative to GDP, with on-chain transfers exceeding $56 billion across Q1 2024–Q1 2025, a 95% CAGR since 2021. The driver is cost: African remittance corridors average 8%–10% per transaction against a global 6%, and stablecoin rails compress cost and settlement time by an order of magnitude. Regulation followed. Nigeria's cNGN — a naira stablecoin issued by a private consortium — launched under Securities and Exchange Commission (SEC) regulation, with the Central Bank of Nigeria (CBN) overseeing payment-system aspects. Kenya signed its VASP Bill in October 2025, and the East African Community (EAC) approved a master plan to integrate regulated stablecoins into shared infrastructure by 2031.

"The creation of stablecoins, especially dollar stablecoins, is being used to undermine African currencies.... I worry that some countries might actually lose monetary sovereignty."

Lesetja Kganyago, Governor, South African Reserve Bank

Asia, the Gulf & Europe

As previously noted, Hong Kong's Stablecoins Ordinance took effect in August 2025; in April 2026, the Hong Kong Monetary Authority (HKMA) granted the first two issuer licenses to Hongkong and Shanghai Banking Corporation (HSBC) and Anchorpoint, a Standard Chartered–led joint venture from 36 applicants, with both HKD stablecoins slated for launch in H2 2026. Japan issued its first yen-pegged license in August 2025.

In the Gulf region, Saudi Arabia's Minister of Municipalities and Housing announced plans for nationally regulated riyal-pegged stablecoins under Saudi Central Bank (SAMA) and Capital Market Authority (CMA) oversight in November 2025, though the initiative remains at the policy-design stage.

SOVEREIGN STABLECOIN ACTIVATION HAS OUTRUN MOST MARKET ANALYSIS

The UK's Financial Conduct Authority (FCA) published issuance proposals in May 2025. The EU's Markets in Crypto-Assets Regulation (MiCA) regime is fully operational, and the European Central Bank (ECB) has accelerated its digital euro since the US GENIUS Act (Guiding and Establishing National Innovation for US Stablecoins Act) passed in July 2025.

The replication wave is not coordinated. It is the convergent outcome of independent calculations: some defend currency pegs while others protect policy transmissions. Across Japan, Singapore, and Hong Kong, replication is driven less by countering the dollar than by competing as a regulated digital finance hub. The aggregate is a structural shift in market composition that the old narrative cannot capture.

THE DOLLAR'S SHRINKING DOMAIN

The strongest counterargument is J.P. Morgan's dollar-demand model: every non-US user converting local currency into a USD stablecoin creates new demand for dollars and treasuries. J.P. Morgan estimates stablecoin expansion could generate $1.4 trillion in new dollar demand by 2027; Tether alone reported total assets exceeding $192 billion at the end of 2025, including more than $141 billion in direct and indirect US Treasury exposure. But the replication thesis does not contradict this model; the two operate on different layers. Sovereign issuance expands at the domestic and regional layers, while USD stablecoins keep generating treasury demand at the international layer. The error in the counterargument is scope: it reads growth in one layer as dominance across all.

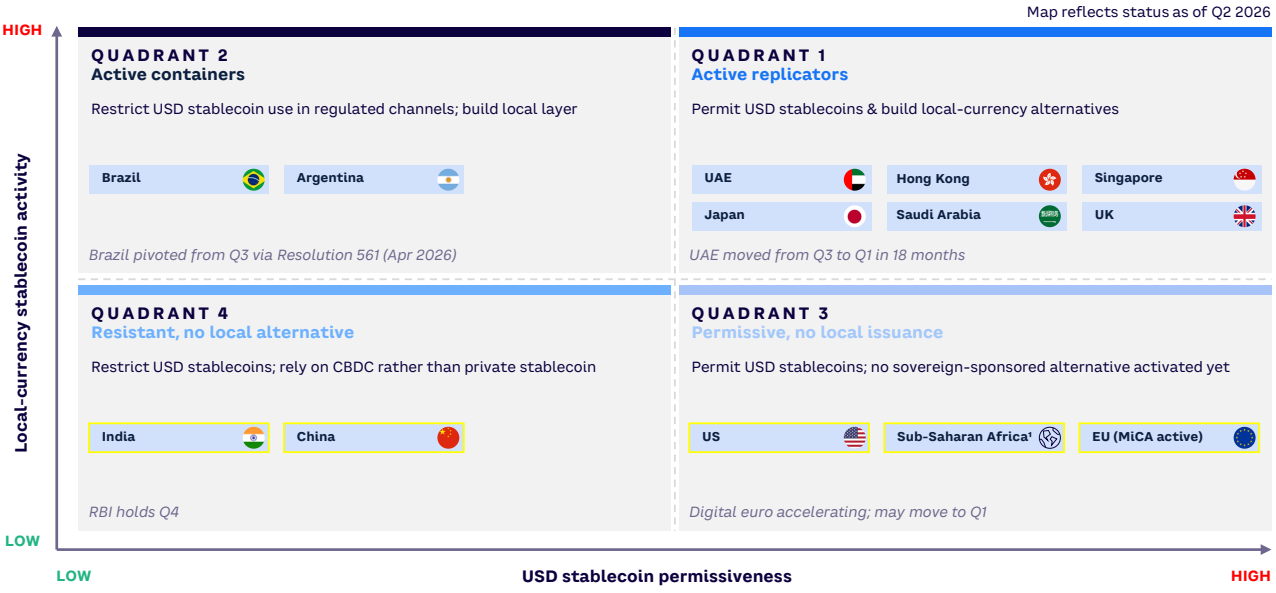
Two questions are routinely conflated. The currency question (dollar versus local-currency denomination) is settled by user demand: the dollar anchors international settlement because exporters and commodity markets demand it, even as local-currency stablecoins proliferate for domestic use. The payment instrument question (stablecoin versus tokenized deposit) is settled by where value moves: stablecoins hold the edge in small-value retail use, while deposit tokens — including J.P. Morgan's Kinexys (processing about $2 billion daily), Citi Token Services, and the Regulated Liability Network (RLN) — are better suited to large-value settlement that integrates with existing financial infrastructure. The GENIUS Act sharpens the divide by barring interest on payment stablecoins, leaving deposit tokens able to carry yield and balance sheet treatment. The dollar retains the international settlement layer. Sovereigns are contesting everything beneath it.

A NEW GEOGRAPHY OF MONEY

Jurisdictions map better on two axes: (1) how far they permit USD stablecoin activity and (2) how far they actively sponsor local-currency stablecoins, resulting in four quadrants (see Figure 1):

- **Quadrant 1: active replicators.** These countries permit regulated-dollar stablecoins while building local-currency alternatives. The UAE is the defining case: USDC and RLUSD are licensed, while DDSC and the RAKBANK stablecoin build the dirham layer. Hong Kong has entered with its first two licenses to HSBC and a Standard Chartered–led venture in April 2026, while Singapore and Japan follow as licensing matures — though their motive is regulated-framework credibility and hub competition, not dollar displacement.

Figure 1. The four quadrants



Note: (1) High adoption but limited regulatory architecture; several jurisdictions in transition
Source: Arthur D. Little

THE SOVEREIGN STABLECOIN ERA HAS ARRIVED

- **Quadrant 2: active containers.** Brazil is the defining case: Resolution 561 closes stablecoin use in regulated cross-border channels, while the VASP framework subjects all activity to bank-equivalent supervision, and BRL stablecoins grow within that perimeter. Argentina occupies an adjacent position with less developed alternatives.
- **Quadrant 3: permissive, no issuance.** These countries permit USD stablecoin activity but have not activated local-currency programs. For example, in the US, the GENIUS Act formalizes USD issuance but contemplates no local alternative because the issuing currency is the dollar. Several African and Latin American jurisdictions sit here by default, each facing a choice: build a response, accept incremental dollarisation, or move toward containment.
- **Quadrant 4: resistant, no alternative.** For example, the Reserve Bank of India (RBI) flags stablecoins as a sovereignty threat while pushing the digital rupee, and the Department of Economic Affairs (DEA) crypto discussion paper was deferred in April 2026 amid Ministry of Finance/RBI tension. China follows a similar pattern: private stablecoins are restricted while the electronic Chinese yuan (e-CNY) continues to advance. The defining feature is that the sovereign substitute is a central bank digital currency (CBDC) rather than a private stablecoin.

The map is not static. The UAE moved from quadrant 3 to quadrant 1 in 18 months; Brazil moved from quadrant 3 to quadrant 2 during the same period. India is pushed toward quadrant 4 by the RBI and pulled toward quadrant 3 by the Ministry of Finance. The jurisdictions that retain the most monetary autonomy are those moving decisively into quadrant 1 or 2, not those left in quadrant 3 or 4 by default.

THE REGIONAL LAYER DECIDES EVERYTHING

Of the three layers (domestic, regional, international), the regional layer carries the greatest ambiguity and the most potential for sovereign or private actors to capture sustained value. Three architectures are emerging in parallel:

1. **The GCC architecture** positions the UAE as an issuance hub through DDSC and the ADI Chain. For Gulf trade, intra-GCC remittance, and UAE-led trade with Africa and South Asia, DDSC can capture a meaningful share of flows now routed through correspondent banking. This is the elegance of a pegged-currency stablecoin: it gives holders dollar exposure with the sovereign's regulatory domicile and reserve location. For the dollar-pegged GCC, that dissolves the usual trade-off between dollar utility and monetary sovereignty — a structural advantage non-pegged markets like Nigeria or Brazil cannot replicate without asking holders to take local-currency risk.
2. **The African architecture** centers on the EAC's 2031 masterplan — the most ambitious statement of sovereign intent. The reality is mixed: cNGN remains at a limited scale, and Yellow Card, Bitmama, and Afriex build rails running predominantly on USDC and USDT (Tether). The question is whether African central banks can coordinate fast enough to channel regional flows onto sovereign rails before USD infrastructure becomes the default. The window is 24–36 months.
3. **In Asia-Pacific,** Project Nexus — the Bank for International Settlements (BIS) initiative interconnecting real-time payment systems across India, Singapore, Malaysia, Thailand, the Philippines, and Indonesia — is the dominant sovereign play. The posture is less about displacing dollar stablecoins than ensuring real-time rails, not stablecoins, capture cross-border flows. Hong Kong's licensing regime sits adjacent as the regulated overlay for institutional flows. The institutions that wait for the architecture to settle will find it settled around them.

THE TRANSPARENCY GAP

In places where sovereigns issue regulated stablecoins, dollar-backed issuers face greater scrutiny. DDSC is fully reserved at the CBUAE, with FAB serving as custodian and real-time attestations recorded on an audited smart contract. cNGN operates under SEC regulation, with the CBN overseeing payment-system aspects. Hong Kong requires weekly reserve disclosures and annual audits, Abu Dhabi Global Market (ADGM) mandates monthly attestations, and the UK's proposed regime would require quarterly disclosure of reserve composition.

The GENIUS Act addressed part of the gap by requiring comparable oversight for foreign issuers of USD payment stablecoins, and Tether responded by announcing USAT. But the International Monetary Fund (IMF) notes the act does not compel Tether to register solely for being USD-denominated. As of mid-2025, Bitcoin still made up nearly 5.5% of Tether's reserves, a composition that would fail any major sovereign-sponsored regime. In a market that now includes DDSC, cNGN, and regulated HKD (Hong Kong dollar) and yen instruments, the comparison is no longer Circle versus Tether but any opaque private USD stablecoin versus the sovereign alternative in each jurisdiction. Tether's opacity, an industry-internal concern in 2024, becomes a competitive disadvantage by 2027 wherever a credible regulated alternative is live.

STRATEGIC IMPLICATIONS FOR EVERY PLAYER

For incumbent banks

The replication wave is the most consequential payments opportunity since SWIFT GPI (Society for Worldwide Interbank Financial Telecommunication Global Payments Innovation). The question is not whether to engage but which stablecoins, in which layer, for which client, and in which corridor. Banks have three strategic postures. The regional architect, exemplified by FAB as the issuance and custody partner for DDSC, commits early to sovereign-backed instruments and gains a first-mover advantage in defining key payment corridors. Standard Chartered, through its emerging markets footprint and Zodia Custody, occupies a similar position. The corridor specialist targets payment flows where stablecoin rails outperform correspondent banking on cost, including Banking Circle and Lloyds in Europe and BTG Pactual in Latin America. The infrastructure provider, including J.P. Morgan with Kinexys and Citi with Token Services, captures the wholesale settlement layer. Each posture is defensible; waiting for regulatory clarity is not.

For policymakers

Sovereigns have three options: prohibit, contain, or replicate. Prohibition produces unregulated demand, not its elimination. Containment, as Brazil shows, requires regulatory capacity and the will to police a tight perimeter. Replication, as the UAE shows, requires the institutional capability to issue and sustain a credible local instrument. Most jurisdictions cannot pursue these options at the same time. The next critical step is mutual recognition between sovereign regimes, which will decide whether the multicurrency architecture interoperates or fragments.

For the stablecoin industry

Regulatory positioning and transparency are now the defining sources of advantage. For example, Circle's GENIUS alignment, audited reserves, and bank partnerships position it better than Tether's scale-and-distribution model, precisely because the emerging markets where Tether is entrenched are where sovereign alternatives activate fastest. For non-USD issuers, the question is whether to compete on the same global infrastructure as USDC and USDT or build sovereign-aligned rails (DDSC, a stablecoin on a sovereign-aligned chain with a defined ecosystem, is the leading example of the second path). The bigger risk for incumbent banks is not deposit substitution but disintermediation: fintechs building the customer-facing layer that connects stablecoin rails to local commerce while banks deliberate.

CONCLUSION

THE QUESTIONS HAVE CHANGED

> INSTITUTIONS THAT CONTINUE TO TREAT STABLECOINS AS A SINGLE MARKET RISK MISSING THE STRUCTURAL FRAGMENTATION UNDERWAY

The defining strategic issue is how sovereign-backed, local-currency, and USD stablecoins will coexist across domestic, regional, and international payment layers. Institutions that continue to treat stablecoins as a single market risk missing the structural fragmentation underway. In the sovereign stablecoin era, institutions must realize:

1. **The monoculture is over.** USD stablecoins hold the international settlement layer, but sovereign-sponsored and local-currency instruments are contesting domestic retail and regional layers.
2. **Position by layer.** The strategic question is which stablecoin, in which layer, for which client, and in which corridor.
3. **GCC has a structural edge.** Dollar-pegged Gulf currencies let DDSC offer dollar exposure with sovereign domicile, dissolving the "utility versus sovereignty" trade-off.
4. **The African window is short.** Regional flows will consolidate onto sovereign rails or USD infrastructure within three years. Pan-African banks should engage now, not after standards are set.
5. **Transparency is a moat.** As sovereign issuers set attestation standards, opaque private stablecoins face mounting competitive disadvantage.



Arthur D. Little has been at the forefront of innovation since 1886. We are an acknowledged thought leader in linking strategy, innovation and transformation in technology-intensive and converging industries. We navigate our clients through changing business ecosystems to uncover new growth opportunities. We enable our clients to build innovation capabilities and transform their organizations.

Our consultants have strong practical industry experience combined with excellent knowledge of key trends and dynamics. ADL is present in the most important business centers around the world. We are proud to serve most of the Fortune 1000 companies, in addition to other leading firms and public sector organizations.

For further information, please visit www.adlittle.com.

Copyright © Arthur D. Little – 2026. All rights reserved.